Stock Market Investing 101

Module 5 Study Guide

Long-Term Investment Strategies

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Buy-and-Hold and Dividend Investing

In this lesson: Define buy-and-hold; Explain dividend investing; Stress quality company traits;

Key points

- Define buy-and-hold
- Explain dividend investing
- Stress quality company traits

Examples from the lesson

- You are in the Stock Market Investing 101 course, Module 5: Long-Term Investment Strategies, Lesson 1: Buy-and-Hold and Dividend Investing.
- The objective of this lesson is to compare two complementary long-term approaches: buying shares of quality companies and holding them for years, and using the dividends those companies pay to buy more shares through reinvestment.
- Imagine you decide to invest TT$5,000 in shares of a reputable Trinidadian conglomerate trading at TT$25 per share.
- At that price you can purchase 200 shares (TT$5,000 ÷ TT$25).
- The company announces an annual dividend of TT$1.00 per share, paid quarterly.
- Over the first year you receive TT$200 in dividends (200 shares × TT$1.00).
- Instead of spending that cash, you enroll in a dividend-reinvestment plan and use the TT$200 to buy more shares at the same TT$25 price, adding eight shares to your holding (TT$200 ÷ TT$25 = 8). You now own 208 shares. In the second year, your larger holding earns TT$208 in dividends (208 shares × TT$1.00).
- Reinvesting that amount buys another 8.32 shares, which we round down to eight shares for simplicity, bringing you to 216 shares.
- Repeating this process each year, with the share price assumed unchanged for illustration, your share count grows steadily: after three years you have about 225 shares, after four years roughly 234 shares, and after five years approximately 243 shares.
- The market value of your holding would be roughly TT$6,075 (243 shares × TT$25), showing how reinvested dividends increase your ownership without any extra cash outlay.
- So let's recap: we defined buy-and-hold as purchasing quality stocks and holding them for years; we explained dividend investing as using cash payouts to buy more shares; we

highlighted the importance of looking for companies with steady earnings and manageable debt; we walked through a TT$5,000 example showing how reinvested dividends increase share count over five years; and we stressed that the process, not predictions, builds long-term wealth.

- In the next lesson, Lesson 2: Dollar-Cost Averaging in Practice, we will see how adding a fixed amount regularly can smooth out market timing concerns.

Lesson 2: Dollar-Cost Averaging in Practice

In this lesson: Define dollar-cost averaging; Set a realistic TT-dollar routine; Work through fou

Key points

- Invest a fixed amount on a regular schedule
- Four TT$600 contributions total TT$2,400 and buy 90 shares
- Average purchase cost is approximately TT$26.67 per share before fees and other adjustments
- Consistency does not eliminate risk or guarantee profit

Examples from the lesson

- In our Stock Market Investing 101 course, we are now in Module 5, Long-Term Investment Strategies.
- This is Lesson 2: Dollar-Cost Averaging in Practice.
- Remember that access to foreign stocks may involve currency conversion from TT dollars into another currency. Now let’s work through one complete example. Suppose you decide to invest TT$600 every month for four months in the same hypothetical stock.
- In month one, the share price is TT$30, so your TT$600 buys 20 shares.
- In month two, the price falls to TT$20, so the same TT$600 buys 30 shares.
- In month three, the price rises to TT$40, so you buy 15 shares.
- In month four, the price is TT$24, so you buy 25 shares.
- You invested TT$600 four times, giving you a total contribution of TT$2,400.
- Your purchases added up to 90 shares: 20, plus 30, plus 15, plus 25.
- Divide the total amount invested, TT$2,400, by the 90 shares accumulated.
- Your average purchase cost is approximately TT$26.67 per share.
- If you cannot afford TT$600 this month, you may need to reduce your contribution or pause.
- Avoid changing your entire plan because of one alarming headline, a market rumour, or what someone says at a fete.
- In our example, four monthly contributions of TT$600 totalled TT$2,400 and purchased 90 shares at an average cost of approximately TT$26.67 per share, before fees and other adjustments.

Lesson 3: Staying Disciplined Through Market Cycles

In this lesson: Understand Market Cycles; Create a Written Plan; Worked Example: Rebalancing

Key points

- Written plans remove emotion during market swings @ "Staying disciplined through market cycles requires a clear written investment plan"
- Fixed targets allow calm rebalancing during pullbacks @ "setting fixed asset targets and scheduled reviews helps you rebalance calmly"
- Consistent habits protect long-term capital growth @ "By sticking to your written rules, you protect your long-term capital"

Examples from the lesson

- I am so glad you joined me for Stock Market Investing 101.
- We are in Module 5, "Long-Term Investment Strategies," and today we are tackling Lesson 3: "Staying Disciplined Through Market Cycles."
- Imagine Marcus, a credit union member in Chaguanas who invests TT$500 every month into local Trinidad and Tobago stocks.
- Marcus sets a clear target allocation of 60% in steady dividend-paying stocks and 40% in growth stocks.
- He also writes down two firm rules: he only reviews his portfolio once a quarter, and he never sells shares just because news outlets report a market drop.
- Suppose Marcus has built a total portfolio worth TT$10,000.
- Under his regular plan, TT$6,000 sits in dividend stocks and TT$4,000 sits in growth stocks.
- Suddenly, local market sentiment turns negative, and a pull-back causes his growth stocks to drop in value to TT$3,000, while his dividend stocks hold firm at TT$6,000. His total portfolio value is now TT$9,000. Without a plan, Marcus might panic, sell his growth stocks at a loss, and hide his money under a mattress.
- His plan tells him his target is 60% dividend stocks and 40% growth stocks.
- To get back to his balanced target, he needs TT$5,400 in dividend stocks and TT$3,600 in growth stocks across his TT$9,000 total.
- Over the next two months, Marcus takes his regular TT$1,000 total contributions—TT$500 each month—and directs the full amount into his undervalued growth stocks.
- By adding TT$600 to growth stocks and TT$400 to dividend stocks according to his regular budget, he naturally buys more shares while prices are low without taking on unnecessary stress.
- You can create your own three-part discipline checklist today.
- First, define your specific investment horizon, such as ten or fifteen years for retirement or buying land.
- Third, write down a personal pledge to ignore daily price movements and only review your account statement four times a year.

Recap checklist — can you say each one?

Lesson 1: Buy-and-Hold and Dividend Investing

☐ Define buy-and-hold
☐ Explain dividend investing
☐ Stress quality company traits

Lesson 2: Dollar-Cost Averaging in Practice

☐ Invest a fixed amount on a regular schedule
☐ Four TT$600 contributions total TT$2,400 and buy 90 shares
☐ Average purchase cost is approximately TT$26.67 per share before fees and other adjustments
☐ Consistency does not eliminate risk or guarantee profit

Lesson 3: Staying Disciplined Through Market Cycles

☐ Written plans remove emotion during market swings @ "Staying disciplined through market cycles requires a clear written investment plan"
☐ Fixed targets allow calm rebalancing during pullbacks @ "setting fixed asset targets and scheduled reviews helps you rebalance calmly"
☐ Consistent habits protect long-term capital growth @ "By sticking to your written rules, you protect your long-term capital"